BBB range. Overall, the initial step of maintaining cooperation among the five BRICS member countries, despite their differing preferences, has been successful.

China Pursues Its Outside Options with AIIB and OBOR

China's position within the new BRICS' multilateral financial institutions, and within the group more generally, has three special characteristics that are worth highlighting here. First, China has access to much larger quantities of funds than any of the others. Moreover, domestic overcapacity requires China to find demand elsewhere to absorb excess capacity in industries like steel and manufacturing inputs.[125] Although the NDB represents collective financial statecraft among the BRICS members, its establishment would not have been feasible without the full financial backing of the Chinese government, whose foreign exchange reserves peaked at just over $4 trillion in June 2014, but have since declined to $3.17 trillion (as of September 2016).

Since the early twenty-first century, China's state-owned banks and its sovereign wealth funds (SWFs) have become increasingly active in lending to developing countries worldwide. The CDB, for example, committed more than 17 percent of its $1.9 trillion portfolio to overseas loans of about $330 billion as of December 2015. The Export-Import Bank of China lends overseas about six times less than CDB annually.[126] The Overseas Development Institute (ODI) estimates that by 2025, the AIIB could have a portfolio of around $100 billion, similar to the ADB, and the NDB could have $65 billion. Other estimates are more bullish, but this is still small compared to the CDB. Moreover, the NDB of the five BRICS has pledged to lend in local currencies (initially those of the BRICS countries), while the AIIB will lend in U.S. dollars, giving the AIIB more options for future expansion.[127]

Second, China has founded or cofounded three international infrastructure initiatives, all within a short time. The One Belt, One Road (OBOR) initiative, first announced by President Xi in 2013, was scaled up in 2017. The NDB, as mentioned, was also announced in 2013, formally agreed in 2014, and officially founded the following year. The third institution is the AIIB, formally announced in 2014. The three initiatives perform different and complementary roles from the Chinese viewpoint, but they have discomfited the other BRICS (see Chapter 4 for a further discussion).